Price Forecast For the Next Tidal Wave Turn

The level of the ultimate bottom is impossible to predict. We can get a general idea of the market's potential from the fact that wave (I) from 1946 to 1980/81 brought 30-year bond yields from 2.15% to 15.77%, chopping bond prices to one-fourth of their starting value. Cycle analyst Martin Armstrong of Princeton Economics calculates a theoretical futures price at the 1946 high of 225 (near a Fibonacci **233**), while the 1981 low was a Fibonacci **55**. If wave (III) is equal in percentage terms to wave (I), it will bring bonds down to ¼ of their value at the 1993 peak of 122-10, to 30-18. If the decline is .618 times as long in point terms as the first, it will cover .618 of 170 points, or 105 points from 122-10, bringing the price to 17-10. A range of 17-10 to 30-18 equates to an interest rate on a 30-year Treasury bond of 27% to 46%. This is at least a hint of the downside potential of the current bear market. The low for wave (III) can be forecast with more confidence once its subwaves through wave ④ are complete.

Time Forecast For the Next Tidal Wave Turn

When might the bear market that has just begun find a bottom? This question was addressed in December 31, 1992, nearly a year before bonds finally topped out, based upon the conclusion that the recovery would end after a Fibonacci 13 years, in 1993. That conclusion now appears to be confirmed, so the forecast from that time stands as quoted below:

> As you can see, the all-time high in Treasury bond prices occurred in **1946** and the orthodox low of the nearly nonstop decline in **1980**. These turns are a Fibonacci **34** years apart. If the upward correction ends after **13** years, the next decline should last **8** years, to **2001 + or - 1 year**, for a total bear market of **55** years from 1946, divided into a **34/21** Fibonacci section at the 1980 low.

Figure 16-11, updated to present prices, was shown in that issue, projecting a high in 1993 and a low in 2001. The projected time for a low is particularly satisfying because stocks typically lag the bond market by a year or two, and the ideal year for a final low in stocks based on Fibonacci time counts (see Chapter 4) and fixed-time cycles (see Appendix B) is 2003.

It must be stated once again that the only reliability of a Fibonacci time cluster this far in advance is that it should mark a